Clearly, Keynes while conceding the merits of India's case, wanted to treat the sterling balances as a bilateral issue beyond the terms of reference of the Fund. The rejection of the Indian proposal on the settlement of the sterling balances was received with dismay in India and there was later even a demand for the recall of the Indian delegation. But Keynes's statement certainly helped to allay Indian concerns on the unilateral repudiation of the sterling balances.

The specific concern of the Indian delegation in this context was the convertibility of sterling. Shroff therefore sought an interpretation from the UK delegation as to how the provision in Article VIII Section 2(a) would 'affect foreign trade transactions between member countries who are ordinarily accustomed to carry on their foreign trade in terms of sterling…' To this Dennis Robertson clarified that only sterling currently acquired as the result of current transactions 'would be really convertible either into rupees or into any other currency'.[30] Keynes was, however, emphatic that no assurances be given on unrestricted convertibility into dollars outside the ambit of the Fund. But Keynes was opposed to horse-trading (i.e. suggesting to India that the price of a further advance towards complete self-government should be a concession in the matter of the sterling balances.)[31]

Quota and a Seat

Insofar as ensuring that India got a satisfactory quota and also a permanent seat on the Executive Board of the Fund and the Bank, the Indian delegation had its work cut out for it. The Indians were unhappy that India's initial (provisional) quota (suggested by the US delegation in January 1944) was too low ($300 million) as against China ($600 million). The Government of India contended that India should receive a quota at least as large as that assigned to China on both technical and political grounds. The Indian public opinion was likely to be extremely sensitive on the size of the quota and that any attempt to put India below China would gravely imperil acceptability of the scheme. It was here that Keynes played a decisive supporting role having sensed that India was as much concerned with equality or near equality with China than with the absolute amount. He said that he was going to see Harry White privately to put up to him a solution to